Presentation of a paper:

Is There Too Much Benchmarking in Asset Management?
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Paper at a Glance

What the paper does

Proposes a tractable general-equilibrium model of delegated asset management in which benchmarking arises endogenously from optimal contracting, then characterizes its welfare consequences.

- **Theory:** Optimal contracting + general equilibrium (CARA utility, N risky assets).
- **Main result:** Privately optimal contracts involve *too much* benchmarking and incentive provision relative to the social optimum — a pecuniary externality.
- **Application:** ESG investing — shows ESG-tilted benchmarks dominate ESG constraints.
- **Published:** *American Economic Review*, Vol. 113, No. 4, April 2023, pp. 1112–1141.

Background of the authors (1/2)

Academic

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Natalia Kovrijnykh
Associate Professor of Economics at the W.P. Carey School of Business, Arizona State University. Her research focuses on optimal contracting, moral hazard, and — as in this paper — the theoretical foundations of delegated asset management.

Background of the authors (2/2)

Academic

Jian Li
Assistant Professor of Finance at Columbia Business School. His research covers asset pricing and portfolio choice, with emphasis on delegated investment and fund manager incentives.

Anna Pavlova
Professor of Finance at London Business School and Research Fellow at CEPR. Her expertise lies in asset pricing and asset management, with research on how institutional incentives shape capital markets — a central concern of this paper.

Why this paper?

I chose the paper because it sits at the intersection of capital markets and microeconomics: it analyzes individual fund managers' incentives under benchmark pressure, the resulting conflicts with investors' interests, and how those incentives can generate overcrowded trades.

What is the narrative? (Layman's terms)

Benchmark-driven investing can push managers into the same trades to avoid underperforming peers. This herding—similar to trends like ESG flows—can lead managers to buy assets for benchmark or flow reasons rather than superior expected returns ("alpha"), creating crowded positions and potential unwanted risks for investors.

Motivation: Why Does Benchmarking Matter?

- Investors worldwide have delegated over $100 trillion to asset management firms.
- Portfolio managers are almost universally evaluated relative to a benchmark.
  - Around 80% of U.S. mutual funds explicitly base compensation on benchmark-relative performance (Ma, Tang & Gómez, 2019).
- Benchmarks are a significant driver of global capital flows and the real economy.
  - Emerging market firms can cut their cost of funds by $\sim$1 percentage point simply by issuing bonds eligible for major benchmark indices (Calomiris et al., 2022).
- **Central Question:** Is the widespread use of benchmarking in incentive contracts privately optimal — and is it socially optimal?

Model: Core Components

- **Agents:** Direct Investors, Portfolio Managers, Fund Investors.
- **Assets:** N risky assets (cash flows $D \sim N(\mu, \Sigma)$) and a risk-free bond (zero interest).
- **Preferences:** Constant Absolute Risk Aversion (CARA) utility: $U(W) = -e^{-\gamma W}$.
- **Information Asymmetry:** Fund investors cannot observe managers' portfolio choices.
- **Manager's Alpha:** Managers can generate "alpha" (Δ) through return-augmenting activities (e.g., securities lending, liquidity provision) at a private cost (ψ).

Manager's Compensation Contract

- Contracts are linear in performance:

$$w = a \cdot r_x + b(r_x - r_b) + c$$

- **Components:**
  - $a \cdot r_x$: Absolute performance fee — manager's "skin in the game."
  - $b(r_x - r_b)$: Relative performance fee — reward/penalty vs. benchmark r_b.
  - c: Fixed salary component.
- Fund return: $r_x = x^\top(\tilde{D} - S) + \Delta(x) - \psi(x)$, where Δ is alpha and ψ is the private cost.
- **Key Parameters:**
  - a: Skin in the game (performance sensitivity).
  - b: Weight on relative (benchmark) performance.
  - θ: Benchmark portfolio weights.
- **Result:** Benchmarking arises *endogenously* — it emerges from the optimal contract as a tool to partially insulate managers from risk.

Manager's Portfolio Choice

- Managers balance:
  - Maximizing expected alpha $(\Delta - \psi/a)$.
  - Hedging benchmark risk $(b\theta)$.
  - Managing their own risk exposure (scaled by a).
- Manager's demand: $x_M = \Sigma^{-1}\left(\frac{\Delta - \psi/a + \mu - S}{a\gamma} + \frac{b\theta}{a}\right)$.
- **Key Insight:** Manager's portfolio differs from direct investors due to alpha generation, hedging, and scaling by a.

Equilibrium Prices and Contracts

- Asset prices (S) depend on contracts via aggregate manager demand.
- **Pecuniary Externality:** Individual fund investors take prices as given, ignoring how their contract choices (aggregated) affect the effectiveness of others' contracts.
- This externality arises because benchmarking and tilting towards high-Δ assets inflate prices, reducing expected returns for all.

Privately Optimal vs. Socially Optimal Contracts

- **Privately Optimal:** Fund investors maximize their own utility, leading to excessive incentive provision and benchmarking due to the externality.
- **Socially Optimal:** A planner internalizes the externality, aiming to maximize aggregate welfare.

Key Differences:

- **Skin in the Game (a):** $a_{social} < a_{private}$ (less incentive provision).
- **Benchmarking (b):** $b_{social} < b_{private}$ (less benchmarking).
- **Asset Prices (S):** $S_{social} < S_{private}$ (lower prices, higher expected returns).
- **Manager Costs ($\psi \cdot x_M$):** $(\psi \cdot x_M)_{social} < (\psi \cdot x_M)_{private}$ (lower costs).

Incentivizing ESG Preferences

- Model extended to include non-pecuniary benefits (κ) from "green" firms.
- Fund investors (with ESG preferences) want to tilt portfolios towards green stocks.
- **Optimal Contract:** Involves an ESG-tilted benchmark (θ).
- Fund investors design contracts to influence the manager's demand for risky assets.

ESG Benchmarking vs. Constraints

- **Current Practice:** Often uses constraints on overall ESG scores.
- **Model's Prediction:** ESG-tilted benchmarks are more efficient.
- Using an ESG constraint is redundant if the benchmark is optimally chosen.
- **Key Takeaway:** Well-designed benchmarks provide better incentives for managers to internalize investors' ESG preferences.

Main Contributions

- Formalizes the pecuniary externality from benchmarking in asset management.
- Shows that privately optimal contracts lead to excessive incentive provision and benchmarking, inflating prices and costs.
- Socially optimal contracts correct this externality, leading to lower prices, lower costs, and improved welfare.
- Provides a theoretical framework for understanding optimal incentive provision for ESG investing, advocating for ESG-tilted benchmarks.

Ending remarks

I am delighted for your attention.

Q & A?